

VANGUARD FUND COMPARISON GUIDE
Index vs Active, Mutual Fund vs ETF

Educational Material - For Investor Information

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PURPOSE

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This guide helps investors choose between investment vehicles available within the Vanguard fund family. It addresses

1. Index funds vs actively managed funds
2. Mutual fund shares vs ETF shares of the same underlying portfolio

This is educational material only; it is not a recommendation. For personalized advice, see VG-OP-008 (Personal Adviso

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PART 1: INDEX VS ACTIVE

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DEFINITIONS

Index Fund - A fund that seeks to track the performance of a specified market benchmark (e.g., the CRSP US Total Mark

Active Fund - A fund whose manager makes deliberate buy/sell/weight decisions intended to outperform a benchmark. Acti

KEY COMPARISON

Cost

- Index funds: typical Vanguard expense ratio 0.03%-0.20%
- Vanguard active funds: typical expense ratio 0.20%-0.50% (lower than industry average due to Vanguard's at-cost ope

Tax Efficiency

- Index funds: typically very tax-efficient because of low turnover (e.g., VG-PR-001 had 3.4% turnover in fiscal 2025
- Active funds: turnover can be 30%-100%+, generating short-term capital gains taxable at ordinary rates

Performance Predictability

- Index funds: tracking error typically 0.02%-0.10% from benchmark
- Active funds: returns can deviate substantially from benchmark in either direction; 60%-80% of active funds histor

Manager Risk

- Index funds: minimal (tracking is rules-based)
- Active funds: significant (changes in PM team can affect strategy)

WHEN ACTIVE MAY MAKE SENSE

Active management is more likely to add value in:

- Less efficient market segments (small-cap, emerging markets, high-yield bonds)
- Asset classes with structural factor exposures (e.g., factor-tilted strategies)
- Tactical situations where benchmark holdings have known concentration risks

WHEN INDEX MAKES MORE SENSE

Index investing is more likely to be advantageous in:

- Highly efficient markets (large-cap U.S. equities, investment-grade U.S. bonds)
- Long-term tax-deferred accounts (IRAs, 401(k)s) where the cost differential compounds over decades
- Core portfolio holdings where consistent benchmark exposure is the goal

VANGUARD'S APPROACH

Vanguard offers both index and active funds. Vanguard's at-cost operating model means active funds are priced significantly

PART 2: MUTUAL FUND VS ETF

DEFINITIONS

Mutual Fund Shares - Bought and sold directly with the fund company at the day's net asset value (NAV), calculated once

ETF Shares - Listed on a stock exchange and bought/sold throughout the trading day at prices determined by supply and demand

KEY COMPARISON

Trading Mechanics

- Mutual funds: one price per day, NAV at 4:00 PM ET close
- ETFs: continuous intraday pricing during exchange hours (9:30 AM-4:00 PM ET)

Order Types

- Mutual funds: market orders only (executed at NAV)
- ETFs: market, limit, stop, stop-limit, trailing-stop orders

Trading Costs

- Mutual funds: zero commission at Vanguard for Vanguard funds; minimum investments apply
- ETFs: zero commission at Vanguard and most major brokerages, but bid/ask spread applies (typically 0.01%-0.05% for most)

Minimum Investment

- Mutual fund Investor Shares: \$3,000 (typically)
- Mutual fund Admiral Shares: \$3,000 (index) or \$50,000 (active)
- ETF Shares: 1 share at market price (often under \$200)

Tax Efficiency

- Mutual funds: end-of-year capital gains distributions can occur even if you didn't sell shares
- ETFs: typically zero or near-zero capital gains distributions due to the in-kind creation/redemption mechanism (though some

Automatic Investments

- Mutual funds: support automatic monthly contributions, dividend reinvestment, dollar-cost averaging
- ETFs: limited automatic-investment support; some brokers offer fractional-share auto-invest, others do not

Use in Tax-Advantaged Accounts

- Mutual funds: well-suited (no tax drag concerns)
- ETFs: well-suited but auto-investment limitations may make mutual funds more practical

VANGUARD'S MULTI-SHARE-CLASS STRUCTURE

Many Vanguard funds offer both mutual fund and ETF share classes of the same underlying portfolio. For example, the Vanguard

- Performance differences between share classes are limited to expense ratio differences and trading mechanics
- Tax efficiency is shared across all share classes
- Investors can choose the share class that best matches their account type, investment size, and trading preferences

DECISION FRAMEWORK

Choose Mutual Fund Shares if:

- You make recurring automatic contributions (e.g., monthly 401(k) deferrals)
- You want to invest exact dollar amounts (e.g., \$250 per pay period)
- You hold the fund inside an employer retirement plan
- You prefer simplicity over intraday flexibility

Choose ETF Shares if:

- You hold the fund in a taxable brokerage account and want maximum tax efficiency
- You want intraday liquidity or want to use limit/stop orders
- You hold the fund in a brokerage account that lacks no-fee mutual fund access for your chosen fund
- You want to start with less than the mutual fund minimum

PART 3: COMMON SCENARIOS

SCENARIO 1: 28-year-old starting a Roth IRA with \$2,000 to invest, plans to add \$400 monthly

- Mutual fund: Below the \$3,000 Investor Shares minimum; consider buying ETF shares (VTMS at market price). Once balance

SCENARIO 2: 55-year-old in 401(k) plan choosing between Vanguard Target Retirement 2035 Fund and the plan's S&P 500 i

- The TRF (VG-PR-004 family) automatically rebalances and adjusts equity/bond allocation along the glide path; the DI
- Cost: TRFs (0.08%) vs DIY combination (could be lower at 0.04%-0.06% depending on plan menu).

SCENARIO 3: Retiree with \$1.2M taxable brokerage account seeking total-market exposure

- ETF shares (VTMS) preferred for tax efficiency, intraday flexibility, and absence of forced year-end capital gains

RELATED DOCUMENTS

- VG-PR-001 - Total Stock Market Index Fund Prospectus
- VG-PR-002 - 500 Index Fund Prospectus
- VG-PR-003 - Total Bond Market Index Fund Prospectus
- VG-PR-005 - Total Stock Market ETF Fact Sheet
- VG-ED-002 - Expense Ratio Explainer
- VG-ED-004 - Vanguard Fund Family Overview Brochure
- VG-OP-007 - Cost Basis Methods Explainer
- VG-OP-008 - Personal Advisor Services Overview

CONTACT

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